OECD
ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

I. 2. b. 7.

IRELAND

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— DOC. PRÊTÉ —
RETOUR BUREAU 706

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

MARCH 1968

BASIC STATISTICS OF IRELAND

THE LAND

Area (thousand sq. km.)	69
Agricultural area (average 1961-66) as % of total area	67

Population of major cities, with suburbs, 1966 census:	
Dublin, Co. Borough	647 000
Cork, Co. Borough	126 000
Dun Laoghaire, Co. Borough	85 000
Limerick, Co. Borough	57 000

THE PEOPLE

Population (April 1966)	2 881 000
No. of inhabitants per sq.km.	41
Increase in population:	
Annual average 1961-66	12 500
Natural increase in population:	
Annual average 1961-66	29 250

Emigration:	
Annual average 1961-66	16 800
Annual average per thousand of population	6
Labour force, total at work, April 1966	1 042 000
Employment in:	
Agriculture, forestry and fishing	330 000
Industry and construction	289 000
Other sectors	423 000

PRODUCTION

Gross national product in 1966 (£ million at market prices)	1 046
GNP per head (US dollars) (1966)	871
Gross fixed investment (1966):	
as % of GNP	18.5
per head (US dollars)	162

Origin of gross domestic product in 1966:	(per cent)
Agriculture, forestry and fisting	20
Industry and construction	33
Services	47

THE GOVERNMENT

Public current expenditure on goods and services, 1966 (as per cent of GNP)	13
General government current revenue, 1966-67 (as per cent of GNP in 1966)	26
Public debt, 31st March 1966 (as per cent of central government current revenue 1966-67)	262

Composition of Parliament (March 1968):	
Fianna Fail	74 seats
Fine Gael	46 —
Labour	19 —
Others	4 —
Last elections: April 1965.	

LIVING STANDARDS

Food consumption, calories per head per day (1964)	3 460
Average weekly earnings of industrial workers in June 1966 (in shillings)	250
Government current expenditure on education per head, in US dollars (1966-67)	26

No. of passenger cars in use per thousand of population (1965)	99
No. of telephones per thousand of population (year ended 31st March 1966)	75
No. of radio and television licences per thousand of population (1965)	212

FOREIGN TRADE

Exports:	
Exports of goods and services as per cent of GNP, 1967	33
Main exports, 1966 (per cent of total domestic exports):	
Live cattle	18
Beef	8
Machinery and electrical goods	5
Textile manufactures	4
Clothing	4
Bacon	3
Beer	3
Butter	3
Textile fibres and waste	2
Main customers, 1966 (per cent of total):	
United Kingdom	70
European Economic Community	11
United States	7

Imports:	
Imports of goods and services as per cent of GNP, 1967	38
Main imports 1966 (per cent of total):	
Machinery and electrical goods	24
Chemicals, including fertilizers	9
Textile manufactures	6
Petroleum	4
Main suppliers, 1966 (per cent of total):	
United Kingdom	52
European Economic Community	14
United States	9

THE CURRENCY

Monetary unit: Irish pound.

Currency unit per US dollar: 0,417.

OECD ECONOMIC SURVEYS

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IRELAND

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

The Socialist Federal Republic of Yugoslavia is associated in certain work of the OECD, particularly that of the Economic and Development Review Committee.

This document was approved
by the Economic and Development Review Committee
in March 1968.

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INTRODUCTION

After two years of relatively slow growth, a faster rate of advance was resumed in 1967. With the rise in demand led by exports, the expansion was accompanied by a marked improvement of the balance of payments, and a surplus on current account replaced the deficits incurred in previous years. The rise in consumer prices remained at the more moderate rate of about 3 per cent experienced in 1966. On the basis of present trends and policies, 1968 should see a further strong advance of activity. Export prospects are relatively favourable, in part because of the devaluation of the Irish pound in line with the pound sterling in November. Domestic demand should rise faster than in 1966 or 1967. The increase in imports, moderate in 1967, is likely to accelerate, but the current external account might well remain in approximate equilibrium.

I CURRENT TRENDS IN THE ECONOMY

The restrictions placed on the growth of demand in 1965 and early 1966 to check rapid rises in both prices and the external current deficit slowed down the increase in real GNP in those years to 2.2 and 1.6 per cent. With some margin of slack developing, pressures on prices and the foreign balance eased and the stage was set for the resumption of faster growth.

Table 1 **Major Economic Indicators**

	1965	1966	1967
Growth of real GNP, per cent	2.2	1.6	4.1
Current external balance, £ million	–42	–16	+10
Rise in consumer prices, per cent	5.0	3.0	3.2

Source: Irish submission to the OECD.

Demand

Activity recovered in the second half of 1966, and preliminary estimates suggest that real GNP rose by 4.1 per cent in 1967. A marked acceleration of the rise in exports provided the main stimulus to faster growth. A change of emphasis of demand management policy also contributed. Certain reflationary measures were taken in the latter part of 1966—a moderate rise in the public capital programme, some relaxation of hire purchase restrictions, and an increase in commercial bank credit ceilings—and the government budget presented in April 1967 served to stimulate demand.

Table 2 **Real Gross National Product and Expenditure**
Percentage change from previous year

	1964	1965	1966	1967
Personal consumption	4.3	1.0	2.3	2.2
Public current expenditure	4.0	3.4	0.9	1.1
Gross fixed capital formation	10.4	9.6	–4.8	5.8
Change in stocks (% of GNP)	2.2	2.5	1.0	—
Domestic demand	6.1	3.1	–0.7	2.0
Exports of goods and services[1]	8.0	1.1	8.3	11.0
Imports of goods and services[1]	12.7	4.4	0.9	5.9
Net factor income from abroad	3.1	17.2	–4.8	—
GNP	3.8	2.2	1.6	4.1

1 Excluding factor income flows.
Source: Irish submission to OECD.
NOTE. Based on 1958 prices.

The rise in exports of goods and services, excluding net factor income from abroad, of £ 47 million (11 per cent) from 1966 to 1967 represented roughly one-half of the increase in total final demand. The increase in merchandise exports was even stronger—some 16 per cent. There was a particularly large increase in exports of meat despite a marked fall in shipments to Common Market countries because of restrictions on meat imports by the EEC. Because of the exceptionally large fall in prices in the United Kingdom in the second half of 1966, farmers held back from selling and carried over large stocks. They were facilitated in doing so by the mild weather conditions. The normal seasonal rise in prices in the early months of 1967 led to large sales from the retained stocks. And exports to the United States increased significantly as a result of efforts to develop alter-

native markets as shipments to EEC countries were falling off. There was also a substantial increase in industrial exports although the UK market, which takes the major part of Irish exports, was not particularly buoyant. A number of factors contributed to this—the removal of the British import surcharge, the removal under the free trade area agreement with the United Kingdom of British import duties on goods containing man-made fibres[1], and the coming into operation of new capacity, particularly in new industries such as " medical and pharmaceutical products " and " professional and scientific goods " which were among the fastest growing of all export groups.

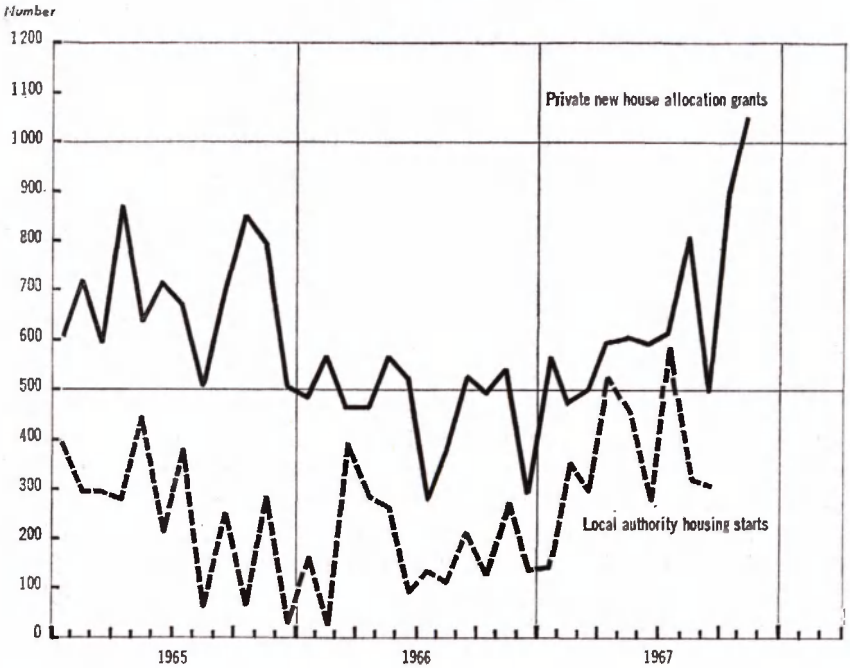
The rise in domestic demand in 1967, about 2 per cent in real terms, remained modest. Gross fixed asset formation, rising by almost 6 per cent in volume, was the most buoyant element. Residential construction recovered sharply from the depressed level of the previous year. Housing starts had fallen significantly in 1966 because commitments and work in progress absorbed most of the resources available in the public sector and because of the shortage of credit in the private sector. They recovered rapidly when the commitments were cleared in 1967 and were also helped by the higher allocations made in the budget; in the second half of last year the number of state grants for private new houses was some 70 per cent higher than a year earlier.

The government budget suggests that public fixed capital formation increased appreciably last year, following the decline in volume in 1966. Business fixed asset formation may not have risen much, however, given the margin of slack prevailing in many industries. Imports of machinery fell in the first half of the year and the latest joint quarterly industrial survey of the Economic and Social Research Institute and the Federation of Irish Industries (October 1967) suggests that in the year ending in the third quarter fixed investment in manufacturing was only slightly higher than in the previous twelve months. But some recovery of imports of machinery in the second half of 1967 may point to a strengthening of business fixed investment demand.

Private consumption increased by some 5 ½ per cent in value and 2 ¼ per cent in volume in 1967. Farmers' incomes may have risen by 5 to 6 per cent and the wage bill by 8 to 9 per cent. Government current expenditure showed only a moderate increase last year. Such indications as are available suggest that inventory accumulation was lower than in 1966, reducing the growth of total domestic demand.

1 The free trade area agreement provided for immediate removal of all British duties on imports from Ireland, but since duties on most articles were either nil or negligible the commodity group " man-made fibres " was the one mainly affected.

Diagram 1 **Housing Starts**



Source : Irish submission to OECD·
NOTE Local authority starts do not include the Ballymun housing scheme.

Output and Employment

The increase in output last year was particularly strong in industry. In the first half of the year the volume of output in transportable goods industries rose by 12 ½ per cent. Allowing for the fact that production was depressed by strikes in 1966, the volume of output in these industries was still 11 per cent higher than in the first half of 1966. Other data, notably exports, point to continued expansion in the second half of the year. Agricultural output is not expected to have shown much change in 1967. There was probably an increase in arable production (which accounts for about one-fifth of total agricultural output), reflecting a larger area under crops and a relatively good summer. And, as already noted, there was a sharp increase in beef exports. But the number of livestock fell somewhat last year[1], notably cattle and sheep. It is of some importance for future output that the cattle birth rate fell slightly in both 1966 and 1967 following several years of substantial rise.

1 The situation in June compared with a year earlier.

As GNP rose in line with capacity in 1967, there may still have been some unused capacity in a number of industries. The last FII/ESRI Survey, published in October, showed that more than two-thirds of the respondents considered themselves able to produce more with existing resources. It is possible that the expansion of activity accelerated somewhat in the course of last year, so that capacity utilisation may have been somewhat higher at the end than at the beginning of the year.

The total number of employed did not increase much. Employment in transportable goods industries rose by about 1 ¼ per cent in the first three quarters compared with a year earlier, and the service industries may also have employed more people. But the increase in these sectors was not sufficient to absorb the growth of the working population and the continued outflow from agriculture. Moreover, with emigration declining because of the slack labour market situation in the United Kingdom, the number of unemployed has probably increased, though direct comparison of the figures for 1966 and 1967 is not possible because of changed definitions of eligibility for workers who qualify for benefits.

Table 3 Employment, Wages and Output in the Transportable Goods Industries, 1963-1967

Percentage change over corresponding period of previous year

	Full year				Jan.-Sept.	
	1963	1964	1965	1966	1966	1967
Employment	2.9	2.0	1.0	0.9	0.4	1.3
Average weekly earnings	3.6	12.3	3.0	9.0	8.0	7.7
Output	5.1	8.0	4.9	4.7	3.9	9.4

Source: CSO: Quarterly Inquiry.

Costs and Prices

In the first three quarters of 1967 weekly earnings in industry were 7 ¾ per cent higher than in the same period a year earlier, reflecting in part the increases granted during the 10th wage round. Almost all of the increases became effective between the first and fourth quarters of 1966. With output rising little in 1966, wage costs per unit of output in manufacturing in the last quarter of 1966 were over 8 per cent higher than a year earlier. In the first three quarters of 1967 output (and output per man) rose sharply, and in the third quarter, unit wage costs were only marginally higher than a year earlier.

Table 4 **Unit Wage Costs in Manufacturing**
Percentage change from a year earlier

1966	I	3.8
	II	8.8
	III	7.3
	IV	8.1
1967	I	4.9
	II	–2.4
	III	0.2

Source: Irish submission to OECD.

Further wage increases are likely in 1968. The bulk of the negotiations will probably take place in the first half of 1968. The recent settlement in the building industry may give some indication of the size of the increases likely to be negotiated during 1968; this settlement, covering a period of two years, provided for increases amounting in all to about 12 per cent to be granted in three stages.

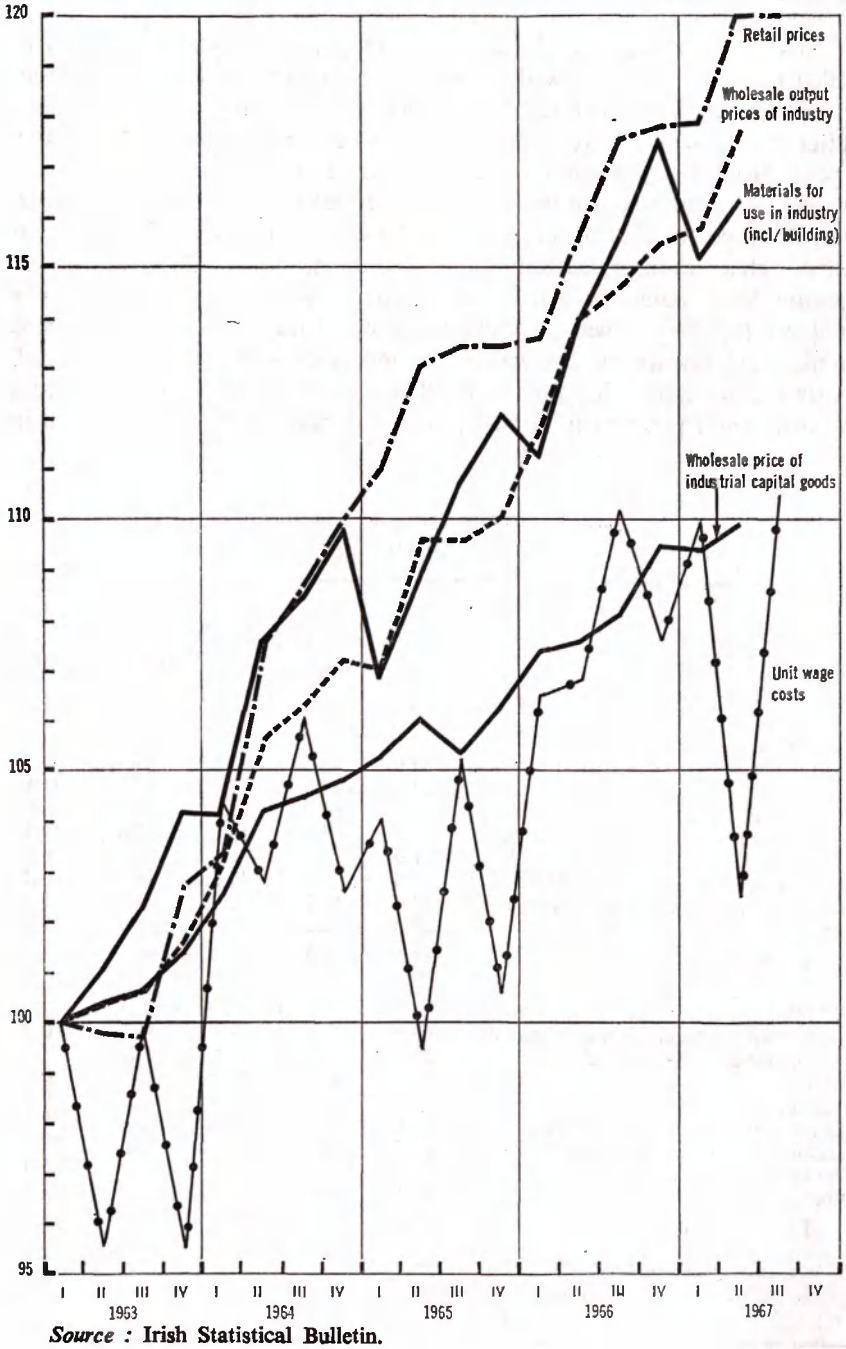
Table 5 **Real Earnings of Industrial Workers 1963-1967**[1]
Percentage change over corresponding period of previous year

	Full year					Jan.-Sept.	
	1963	1964	1965	1966	1967	1966	1967
Average weekly earnings[1]	3.6	12.3	3.0	9.0		8.0	7.7
Consumer prices	2.5	6.7	5.0	3.0	3.2	2.7	3.3
Average weekly real earnings[1]	1.2	5.2	–2.0	5.8		5.1	4.4

1 Workers in transportable goods industries.
Source: CSO: Monthly Economic Series; Quarterly Inquiry.

The rise in prices has slowed down considerably. Between November 1966 and November 1967 the consumer price index rose by 2.7 per cent as compared with about 4 per cent in the preceding twelve months. Food prices rose by only 1.6 per cent last year, suggesting that non-food prices increased somewhat faster than the overall consumer price index. Wholesale prices of home-produced manufactured and crude products increased by 3.2 per cent over the twelve months to September, less than the 4.6 per cent recorded during the previous twelve monthly period.

Diagram II **Unit Wage Costs, Wholesale and Retail Price Movements**



Source : **Irish Statistical Bulletin.**

Balance of Payments

The current account of the balance of payments, which has been in deficit in recent years, showed a small surplus in 1967. The improvement was partly due to higher tourist receipts, but is mainly attributable to a better trade balance. Merchandise imports were only 5 per cent higher than a year earlier, rising much less than exports. The moderate rise in imports in relation to the advance in activity was related to the pattern of demand, with the types of expenditure with a relatively high marginal import content—such as inventory accumulation, investment in machinery, and private consumption—falling or rising more slowly than GNP. Much of the rise in domestic activity was accounted for by residential construction and public fixed investment for which the import content is relatively small. Other factors accounting for the small rise in the value of imports were a fall of about 1 per cent in import prices, a decline of nearly £ 3 million in

Table 6 **Foreign Trade, by Commodity**
£ million

	1964	1965	1966	Jan.-Oct. 1966	Jan.-Oct. 1967
Exports[1]*:*					
Cattle	54.8	44.7	43.5	36.2	38.7
Beef	14.4	15.3	19.7	14.1	31.5
Other food, drink and tobacco	68.3	69.9	75.9	64.1	66.0
Raw materials and fuels, oils and fats	13.0	15.6	18.6	15.0	18.3
Chemicals	1.9	4.8	6.9	5.7	6.9
Manufactured goods and articles	40.0	42.2	47.9	38.7	45.8
Machinery and transport equipment	12.4	10.2	12.7	8.8	11.1
Other	12.3	12.2	11.2	8.4	9.0
Total	217.0	214.9	236.4	191.1	227.3
Imports:					
Food, drink, tobacco incl. live animals	63.9	72.3	69.3	56.0	56.7
Raw materials, oils and fats	29.4	27.9	28.6	23.5	25.6
Fuels	29.6	31.4	32.2	28.0	30.6
Chemicals	28.3	32.4	33.5	27.3	29.2
Manufactured goods and articles	94.6	96.4	102.3	83.9	88.9
Machinery and electric equipment	58.5	61.7	60.5	50.4	52.6
Transport equipment	27.1	31.5	28.7	23.5	25.0
Other	18.1	18.1	17.5	13.2	14.1
Total	349.3	371.8	372.6	305.9	322.7

1 Excluding re-exports.
Source: Trade Statistics of Ireland.

the value of cereals imported and a fall of £ 1½ million in imports of paper which were inflated in 1966. To some extent, the modest increase in imports may also have been caused by the British dock strikes which held up UK exports; in the second half of last year imports were rather lower than a year earlier. This may have been a factor behind the decline in inventory accumulation. Some catch-up in imports is therefore likely in the early months of 1968.

Table 7 **Balance of Payments 1963-1967—Current Account**
£ million

	1963	1964	1965	1966	1967
Trade balance	–111.2	–127.1	–151.2	–129.2	(–108)
Merchandise exports (fob)	186.4	212.3	211.4	234.4	(274)
Merchandise imports (cif)	–297.6	–339.4	–362.6	–363.6	(382)
Balance on services	89.1	95.7	109.5	113.1	(118)
Tourism and travel	27.4	32.9	39.5	33.5	
Investment income	13.5	13.1	17.8	16.3	
Emigrants' remittances, legacies	12.8	13.1	14.1	14.8	
Transportation	5.4	8.2	8.8	12.1	
Pensions and allowances	5.0	5.5	5.7	5.6	
Other known current items	12.5	15.4	18.2	18.1	
Balance unaccounted for	12.5	7.5	5.4	12.7	
Balance on current account	–22.1	–31.4	–41.8	–16.1	(10)

Source: Irish Statistical Bulletin and Secretariat estimates.

Table 8 **Balance of Payments 1963-1967—Capital Account**
£ million

	1963	1964	1965	1966	1967
Balance on capital account	25.9	37.2	24.2	41.4	
Capital issues by companies	3.2	6.0	4.1	5.0	
Purchases and sales of securities	0.7	—	2.2	–2.0	
Payments for life insurance	–2.3	–2.5	–2.6	–2.7	
External subscription to government and local authority issues	5.6	0.1	2.4	18.4	
Borrowing by semi-state concerns and trade credits	0.1	9.5	2.2	0.5	
Net change in external capital of hire purchase concerns	1.5	2.8	2.3	—	
Other capital transactions	17.3	21.3	13.6	22.2	
Changes in reserves	–3.8	–5.8	17.6	25.3	

Source: Irish Statistical Bulletin.

The capital account of the balance of payments also made a favourable showing in 1967 in spite of the restrictions on UK and US lending and investment abroad. The net capital inflow is estimated to have amounted to some £ 30 million, all of it on private account since the Government did not borrow abroad last year. In 1966 there was a total net inflow of about £ 45 million, but some £ 20 million of this was attributable to government borrowing. No breakdown is yet available of the capital inflow in 1967. External assets of the banking system rose sharply by £ 42 million last year. At the end of the year they amounted to £ 295 million, corresponding to nine months' merchandise imports.

II ECONOMIC POLICY

As noted earlier, the emphasis of demand management policy was changed in an expansionary direction in the second half of 1966. The fiscal restraints introduced in 1965 and in the April 1966 budget began to be relaxed in the latter part of that year, and the ceiling on commercial bank credit was increased. In 1967 further steps designed to stimulate demand were taken, both in the budget and in the field of credit policy.

Budget Policy

Table 9 shows the government budget in recent years. The upper half of the table gives the main aggregates on an administrative basis, and the lower half gives the current budget in national accounts terms which provide a better basis for estimating the impact of the budget on aggregate demand. In 1966-67, given the large current external deficit prevailing at that time, and the difficulty in assessing the expansionary force released by the 10th wage round, the budget aimed at restricting the growth of demand. Tax rates were increased, the growth of current expenditure was restricted, and capital expenditure was not increased at all. It is difficult to estimate the effect on demand with any precision. A tentative attempt has been made in Table 10 to illustrate the rough order of magnitude of the demand impact, including secondary effects on personal incomes and expenditure. It can be seen that, on the basis of certain assumptions about multiplier effects, the change in the current budget in 1966-67 may have involved a reduction in demand of some £ 7 million. On similar assumptions, the capital budget in 1966 also probably had some deflationary effect, perhaps of the order of £ 4 to £ 5 million.

Table 9 **Government Budget 1965/66-1967/68**
£ million

	1965-66 Outturn	1966-67 Outturn	1967-68 Budget estimate
A. *Administrative Basis:*			
Current account			
Revenue	240.8	272.8	295.2
Expenditure	248.6	272.0	295.2
Deficit	–7.8	0.8	—
Capital account			
Current deficit	7.8	–0.8	—
Voted capital issues	32.2	33.2	34.8
Issues under various statutes	40.7	34.4	37.3
Less: repayments	1.5	1.1	1.9
Net borrowing	79.1	64.9	70.9
B. *National Accounts Basis:*			
Current account[1]			
Household taxes	162	186	203
Other revenues	40	44	49
Household transfers	92	104	114
Purchases of goods and services	79	81	88
Local authority transfers	29	32	39
Savings	2	13	11

1 No breakdown is yet available fo capital account on national accounts basis.

Source: Irish submission to OECD for current account figures; for capital account figures Table 28 of Central Bank Report, 1966-67.

Table 10 **Illustrative Calculation: Demand Impact of Government Budget**
£ million. Change over previous year

	1966-67 (outturn)		1967-68 (budget estimate)	
	Financial Impact	Demand Impact[2]	Financial Impact	Demand Impact[2]
Household taxes	–24	–19	–17	–13½
Household transfers	12	9½	10	8
Purchases of goods and services	2	3	7	10½
Net impact of current account	–10	–6½	—	5
Capital expenditure[1]	–3	–4½	4	6
Total impact of budget on demand	–13	–11	4	11

1 Determined implicitly as the sum of savings on government account plus net borrowing.
2 Using multipliers of 0.8 for household taxes and transfers and 1.5 for government purchases of goods and services and investment.

Source: Irish submission to OECD, *Central Bank Report 1966-67* and Secretariat estimates.

In 1967-68, with the balance of payments much improved and a considerable margin of slack in the economy, the budget aimed at stimulating demand. Indirect taxes on tobacco and beer were increased to yield £ 2 ½ million as against an increase of £ 23 million in current government expenditure. Table 10 shows that the current account of the budget may have served to stimulate aggregate demand by some £ 5 million, about 0,5 per cent of GNP. In addition, the increase in capital expenditure, which, on the basis of the budget estimate, could have stimulated demand by a further £ 6 million, should have had an important impact on all sectors including the housing sector, reversing the decline in housing starts experienced in the previous year.

Credit Policy

The tighter monetary policy introduced in 1965 to restore better balance in the economy, began to be relaxed in the latter half of 1966. Monetary developments in that year were distorted by a bank strike lasting from early May to early August. After the bank strike, total credit was discovered to have risen by nearly twice as much as the 5 per cent guideline set by the Central Bank for the whole year beginning March 1966. However, the Bank in July announced a limited relaxation of credit and, in December, when figures had become available, new instructions were circulated which permitted a rise in credit equivalent to 12 per cent for the year up to March 1967. In fact total bank credit rose by 11.1 per cent or £ 40 ½ million (adjusted) over that period. Of the increase of £ 40 ½ million, £ 7.3 million was accounted for by the public sector and £ 33.2 million by the private sector. In the spring of 1967, the Central Bank recommended a £ 40 million, or 10 per cent, increase in bank credit over the 12 months ending in March 1968. In September, the remaining restrictions on hire purchase which had been imposed in July 1965 were removed. In November, however, at the time of the devaluation, interest rates were increased.

Between March and November 1967, bank credit rose by only £ 24 million on a seasonally adjusted basis. The greater part of this (two-thirds) was taken up by the public sector. Private credit demand remained weak, reflecting notably the fact that business fixed investment as well as inventory demand were not particularly buoyant last year.

The liquidity position of the banks improved substantially in 1967. At the end of the year the " Central Bank ratio "—the ratio between the banks' net external assets plus balances with the Central Bank and domestic liabilities/bank deposits—stood at 25, compared with 17.3 in July 1965. Credit conditions should therefore be favourable to a faster growth of investment in 1968.

Table 11 **Domestic Credit**
£ million

	March 1965	March 1966	March 1967	Nov. 1967	Increases: Mar. '65-Mar. '66	Mar. '66-Mar. '67	Mar. '67-Nov. '67
(Unadjusted)							
Bills and investments							
Government	31.2	59.6	75.7	94.2	28.4	16.1	18.5
Other	17.8	15.4	14.8	14.9	–2.4	–0.6	0.1
Total	49.0	75.0	90.5	109.1	26.0	15.5	18.6
Loans and advances	282.9	276.9	290.9	304.5	–6.0	14.0	13.6
Total bills, loans, investments, and advances	331.9	351.9	381.5	413.7	20.0	29.5	32.2
(Adjusted)							
Total bills, loans, investments, and advances	342.9	361.9	404.4	428.5	19.0	42.5	24.1
Bills rediscounted with Central Bank	8.5	2.0	—	—	–6.5	–2.0	—
Total credit	351.4	363.9	404.4	428.5	12.5	40.5	24.1

Source: Central Bank Monthly Bulletin; irish submission to OECD.

Table 12 **Interest Rates**

	Dec. '64	Aug. '66	Apr. '67	Jun. '67	Nov. '67
Bank deposit rates:					
— on deposits over £ 25,000	4	5	4¼	3¾	5½
— on deposits under £ 25,000	2½	3½	3	2½	4¼
Overdraft rate	7¼	8	7⅝	7¼	8½

Source: Central Bank Monthly Bulletin.

Table 13 **Reserves, Bank Deposits and Liquidity**

£ million

	March 1965	March 1966	March 1967	Nov. 1967	Increases: Mar. '65-Mar. '66	Mar. '66-Mar. '67	Mar. '67-Nov. '67
Associated Banks							
Current and deposit accounts (adjusted)	442.7	472.2	537.3	563.7	29.5	65.1	26.4
Balances with Central Bank	19.7	22.7	38.1	21.9	3.0	15.4	–16.2
Bills rediscounted with Central Bank	8.5	2.0	—	—	–6.5	–2.0	—
Net external assets	83.7	93.8	101.3	118.1	10.1	7.5	16.8
Central Bank ratio[1]	21.4	24.2	26.0	24.8	—	—	—

1 The ratio of the Associated Banks' net external assets plus balances with the Central Bank, less bills rediscounted with the Central Bank, to their liabilities within the State on current and deposit accounts.

Source: Central Bank Quarterly Bulletin; Irish submission to OECD.

Devaluation

In view of the fact that a major part of Ireland's foreign trade is with the United Kingdom, the Irish pound was devalued simultaneously with sterling and by the same amount[1] on 18th November. It seems reasonable to expect the effect on the balance of payments to be favourable. Trade with the United Kingdom, which accounts for about half of merchandise imports and two-thirds of merchandise exports, should be stimulated in both directions, replacing imports from non-devaluing countries, and it may be difficult to estimate the net effect on the trade balance. But the trade balance with non-devaluing countries should improve. From the point of view of exports, one has to allow for the increased cost of imported raw materials and components. Nevertheless, the increase in exporters' margin vis-à-vis non-devaluing countries should be substantial. This may partly be used to increase profit margins and partly to lower export prices in foreign currency. On any usual assumption about price elasticities, the rise in volume over a period of time should be bigger than the reduction in price so that the export value in foreign currency should increase. On the import side there should be a saving both because foreign exporters may lower their prices somewhat in foreign currency and because of replacement of imports by sterling-priced production. Moreover, devaluation can be expected to have a favourable effect on the invisible balance, notably net income from tourism.

It is possible that the first effect of devaluation will be to worsen the balance of payments: it may take some time before lower export prices (in foreign currency) result in higher export volume, or before the higher sterling cost of imports affects their volume. But after some time the favourable effects should be progressively felt.

Manpower Policy

During 1967 the Irish authorities took important steps to improve future labour supplies. The new Industrial Training Authority, set up in March 1967, now provides training and retraining facilities for workers intending to enter industry for the first time, or who wish to acquire more sophisticated skills. As yet the Authority operates on a fairly small scale, providing facilities for the re-training of some hundreds of workers per year, but an extension of the programme is foreseen in coming years. Further legislation, which came into effect at the beginning of 1968, provides

1 The par value of the Irish pound was reduced from $ 2.80 to $ 2.40, or by 14.3 per cent. This meant that the value of non-devaluing currencies expressed in pounds rose by 16 2/3 per cent.

a redundancy payments scheme and financial assistance to workers who have to change their dwelling place in order to obtain work. The two schemes are thus designed to complement each other by improving both the supply and the mobility of trained manpower. Surveys are also currently in hand to improve the information available on manpower supplies, and to improve career guidance for young people.

III PROSPECTS AND POLICY CONCLUSIONS

On the basis of present trends and policies, activity should show a further strong increase in 1968, with exports again providing the main stimulus. Exports to the United Kingdom may rise considerably. In Britain, the foot and mouth disease has had adverse effects on the domestic supply of meat, entailing larger import needs. Irish exports of cattle to the United Kingdom were high already in 1967, and a further increase in the volume of such exports in 1968 would not seem likely, given the decline in stocks over the last year. But prices have risen in Britain, so that the value of cattle exports could rise substantially. Industrial exports to the United Kingdom should increase at a good rate, mainly because of the effects of devaluation (see page 19) and the expected stronger upturn of activity in Britain. The importance of the latter factor for Irish industrial exports, however, the greater part of which consist of consumer goods, may be moderated by the likelihood of only a modest increase in consumer demand in the United Kingdom. Exports to non-devaluing countries should be stimulated by the devaluation and the prospect of stronger expansion both in Continental Europe and the United States. The outlook for tourism may be adversely affected by the US balance of payments programme, but British and Continental European tourists should come in greater numbers, given the price effects of devaluation, the existing British foreign exchange restrictions on tourist expenditure in non-sterling countries, and the extension of car ferry facilities between Ireland and the Continent. In all, total exports of goods and services could rise by more than 10 per cent, or by an amount corresponding to 3 to 3.5 per cent of GNP.

Fixed investment demand may strengthen somewhat. Residential construction could rise rather strongly, given the sharp increase in housing starts in the course of 1967, and assuming no major change in government policy in the present year. Expenditure on public fixed investment may be expected to show a further significant rise in the forthcoming capital budget. Prospects for business fixed asset formation are more uncertain. A number of factors—greater demand buoyancy, better profit outlook, and relatively easy credit conditions—would seem to point to a fairly sharp

upturn, following the weak trend of the past two years. On these assumptions total gross fixed asset formation may rise by as much as 10 per cent in volume.

Private consumption would also seem likely to increase faster than in 1967. The wage bill will be influenced by a rise in employment, some wagedrift, and the increases in wages and salaries likely to be negotiated this year. Farmers' incomes are also likely to show greater buoyancy than last year, given notably a rise in agricultural export prices. Although the growth of personal incomes is likely to be accompanied by some acceleration of the rise in consumer prices, personal consumption should increase faster in 1968 than in the past three years.

The stronger increase in aggregate demand will to some extent be covered by higher imports, although the rise in the volume of imports should be moderated somewhat by higher import prices after the devaluation. But domestic output may also rise faster than in 1967, with real GNP probably increasing by 4.5 to 5 per cent. This should be well within the capacity of the economy given the existence of some spare capacity. The pressure on prices from the demand side would seem unlikely to increase much. But, as already noted, the devaluation may serve to increase the domestic price level by about 2 per cent in the course of 1968. The future movement of prices will also depend on the size of the wage settlements negotiated during 1968. All in all, some acceleration of the rise in prices is therefore likely in 1968.

The current account of the balance of payments may deteriorate somewhat in 1968, given the stronger increase in import demand likely to be associated with faster expansion of activity. But with the significant increase in merchandise exports which now seems likely, and assuming a continuation of the upward trend in net tourist earnings, the deterioration could be moderate, and the current account might show an approximate equilibrium position in 1968. The capital account tends to show a net inflow of funds. Complete information is not available on the composition of the capital account and the factors determining the capital inflow. Given the persistence of the inflow in past years, it may be reasonable to expect a net inflow also in 1968, although the recent US balance of payments programme may tend to reduce it somewhat. External assets to the banking system could therefore continue to increase.

All in all, prospects for 1968 should therefore be favourable, with a further advance in activity going hand-in-hand with the maintenance of a stable balance of payments position, possibly with a further increase in foreign exchange reserves. There are, however, considerations which call for some caution in demand management policy.

First, an important consideration must be to maintain maximum cost and price stability, thus preserving as much as possible of the advantage conferred by devaluation. The risk of an excessive rise in costs and prices would be enhanced if activity was to expand at a much faster rate than the one now envisaged.

Second, the present cost/price situation is a reminder that stronger efforts may be needed to develop an incomes policy. There would seem to be need for official guidance in price/wage questions on a more continuing basis, perhaps through the further evolution of institutional arrangements. The evolution of an efficient incomes policy is difficult under the best of circumstances, but the chances of some success in this field would be improved if the movement to a higher level of activity was gradual, so that bottlenecks and shortages of labour could as far as possible be avoided. The development of current manpower policy could be a valuable means to this end.

Third, balance of payments considerations would also seem to call for some caution. Although the existing position is strong, this is related to the fact that the pressure of demand is on the low side. It is recalled that the expansion of activity in 1964 was associated with a marked deterioration of the current external balance, and that the need to restore better equilibrium was an important reason why demand restraints were introduced in 1965 and 1966. It would therefore seem essential that full benefit should be taken from the price advantage resulting from the devaluation. In 1967, the expansion of activity was led by the strong rise in exports. An export-led expansion could be achieved in 1968 also, provided that domestic demand does not rise excessively, although this year there is obviously more room for a faster expansion in domestic demand consistent with reasonable stability in the balance of payments.

These considerations suggest that the rate of increase in domestic demand which can be expected in 1968 may be an appropriate one in existing conditions. There would therefore seem to be no need for any major change in demand management policy, particularly if the rise in costs remains moderate. The growth rate now envisaged would mean that the advance to a fuller use of resources was not too rapid from the point of view of keeping the post-devaluation rise in costs and prices to a minimum. And it would provide scope for a further significant increase in exports and some replacement of imports by domestic production, which would improve prospects for steady growth in conditions of reasonable external balance.

STATISTICAL ANNEX

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TABLE A **Expenditure on gross national product**

		1958	1959	1960	1961	1962	1963	1964	1965	1966	1967 Estimate
					(*a*) £ MILLION AT CURRENT PRICES						
1	Consumers' expenditure	459.3	466.8	497.2	522.7	562.1	599.7	666.0	701.1	738	778
2	Public authorities' current expenditure	70.5	73.9	78.2	83.8	91.6	99.5	119.2	130.1	136	145
3	Gross fixed capital formation	79.8	82.7	89.6	108.5	128.5	148.6	174.1	197.9	194	212
4	Change in stocks and work in progress	–7.7	+22.2	+10.3	+7.9	+10.6	+10.7	+18.4	+22.9	+9	—
5	Exports of goods and services	172.6	180.3	201.6	236.0	237.5	265.0	299.8	309.5	341	388
6	Total use of resources	774.5	825.9	876.9	958.9	1 030.3	1 123.5	1 277.5	1 361.5	1 418	1 523
7	Less: Imports of goods and services	205.8	220.0	235.4	270.3	286.6	322.8	368.3	394.4	400	421
8	Gross national product at market prices	568.7	605.9	641.5	688.6	743.7	800.7	909.2	967.1	1 018	1 102
					(*b*) £ MILLION AT CONSTANT PRICES						
1	Consumers' expenditure	459.3	465.0	491.3	504.7	521.6	543.4	566.7	572.1	585	598
2	Public authorities' current expenditure	70.5	71.8	73.3	74.8	77.2	80.0	83.2	86.0	87	88
3	Gross fixed capital formation	79.8	82.7	87.9	102.9	117.9	133.7	147.6	161.8	154	163
4	Change in stocks and work in progress	–7.7	+22.9	+10.2	+7.6	+10.7	+10.3	+16.5	+19.7	+8	—
5	Exports of goods and services	172.6	175.5	198.2	232.3	231.0	252.9	273.2	276.1	299	338
6	Total use of resources	774.5	817.9	860.9	922.3	958.4	1 020.3	1 087.2	1 115.7	1 133	1 187
7	Less: Imports of goods and services	205.8	224.6	236.3	269.0	283.7	314.0	353.8	369.4	373	395
8	Gross national product at market prices	568.7	593.3	624.6	653.3	674.7	706.3	733.4	746.3	760	792

Source: Irish submission to OECD.

TABLE B **Production, employment and other economic indicators**

		1963	1964	1965	1966	1967	1966				1967			
							I	II	III	IV	I	II	III	IV
1	Volume of agricultural output[1] (1953 = 100)	110.2	115.1	111.6	112.3	—								
2	Cattle numbers (thousands, mid-year count)	4 860	4 962	5 359	5 590	5 586								
3	Index of industrial production, transportable goods[2] (1953 = 100)	153.5	165.3	174.2	182.0		168.4	178.9	186.7	194.2	184.9	205.2	194.3	
	Of which:													
4	Mining and quarrying[2]	207.1	224.6	217.2	345.9		221.5	384.1	469.0	308.9	326.3	556.7	481.6	
5	Manufacturing[2]	151.0	162.5	171.4	174.7		165.2	170.0	174.9	188.5	178.4	190.8	182.3	
6	Employment in transportable goods industries (thousands)[2 3]	177.7	181.8	182.7	185.3		182.6	182.8	187.9	187.8	184.5	186.9	188.9	
7	Number of males engaged in farmwork (thousands, 1st June)	354.9	343.5	330.0	320.6	309.9								
8	Unemployment (registered) (thousands)	50	48	50	48	55	57	48	37	51	63	53	48	57
9	Net outward passenger movements by sea and air (thousands)[4]	–22	–22	–27	–29	–49	–36	+16	–32	+25	–23	+19	–42	–3
10	Average hours worked per week in transportable goods industries[5] (number)	44.6	44.3	44.0	44.2		43.4	43.8	44.2	44.2	43.4	43.5	43.8	
11	Value of average weekly retail sales (1961 = 100)	113	124	132	135		120	130	142	148	127	139	144	
12	New private cars registered for first time[2] (thousands)	37.0	41.4	43.1	39.5	40.1	12.5	9.9	11.3	5.9	10.7	12.7	9.4	7.3

1 Net output adjusted for stock changes, excluding turf.
2 For items 3, 4, 5 and 6, the figures for 1966 and 1967 are provisional; for item 12 the figures for 1967 are provisional.
3 Quarterly figures are for March, June, September and December; annual figures are averages.
4 " + " indicates a net inward movement.
Annual figures are for September; quarterly figures relate to March, June, September and December.

Source: Irish Statistical Bulletin and OECD Main Economic Indicators.

TABLE C **Prices and wages**

	1963	1964	1965	1966	1967	1966 I	1966 II	1966 III	1966 IV	1967 I	1967 II	1967 III	1967 IV
1 Consumer prices[1] (mid-August 1953=100)	128.4	137.0	143.9	148.2	152.9	144.9	147.6	150. 0	150.4	150.6	153.2	153.3	154.3
2 *Of which:*													
Food prices (mid-August 1953 = 100)	125.0	132.8	140.9	141.7	144.4	139.5	142.2	143.6	141.5	141.4	145.0	145.9	145.2
3 Wholesale Prices (1953 = 100)	119.8	126.8	131.6	134.2	137.4	133.0	135.7	134.3	134.0	136.3	138.4	137.0	137.9
4 Industrial prices (1953 = 100)	122.4	128.1	132.5	137.9	142.8	134.7	137.1	139.4	140.5	140.7	143.2	143.5	143.8
Of which:													
Simply transformed	107.4	110.1	111.8	114.9	118.0	112.4	114.0	116.3	116.8	116.8	118.1	118.6	118.6
More elaborately transformed	128.0	134.9	140.3	146.5	152.1	143.0	145.8	148.0	149.4	149.7	152.6	152.9	153.3
5 Average hourly earnings in transportable goods industries[2] (October 1953 = 100)	169.8	191.9	197.1	220.9	231.5	201.9	213.3	220.9	224.2	226.2	230.7	231.5	
6 Agricultural prices (1953 = 100)	102.2	113.1	117.7	115.9	119.2	117.3	119.3	112.7	114.3	118.8	118.9	114.9	124.1
7 Store cattle prices (1 — 2 year olds) (average monthly prices at fairs, per head (£)	38.9	45.4	48.8	41.0	40.5	45.4	44.2	38.1	34.0	41.9	41.1	37.5	41.3
8 Minimum weekly wages in agriculture[3] (1953 = 100)	150.3	178.2	197.2	212.9	221.5								

1 Quarterly figures for February, May, August and November.
2 Annual figures for September, otherwise for March, June, September and December.
3 July in each year—annual figure.
Source: Irish Statistical Bulletin.

TABLE D Money and Banking

	1962	1963	1964	1965	1966	1967	1966 I	1966 II	1966 III	1966 IV	1967 I	1967 II	1967 III	1967 IV
1 Currency circulation (£ million) (average of Saturdays)	90.4	96.9	107.6	113.8	120.3		116.0	117.9[1]	B.S.	122.7	122.0	121.8	125.0	
2 Rediscount rate of Central Bank[2] (per cent)	3 55/64	3 63/64	6 13/16	5 7/8	6 7/8		5 29/32	5 15/16	7	6 7/8	5 7/8	5½	5 17/32	
3 Price of 6 per cent Exchequer Bonds[3] (per £ 100 stock)	100½	100¾	101 7/8	97¼	90½	89¾	93.6	91.9	89.0	85.8	87.8	90.6	91.1	89.9
4 Price index number of ordinary stocks and shares (1953=100)	214.2	261.3	325.5	316.2	295.1	294.5	306.2	303.9	294.2	275.9	272.2	284.6	300.4	320.9
COMMERCIAL BANKS[2]:														
5 Current accounts (£ million)	160.9	180.5	202.6	210.7	235.4		201.0	209.0[5]	231.2[5]	235.4	239.3	237.3		
6 Deposit accounts (£ million)	242.4	242.3	257.4	274.6	306.0		278.5	283.1[5]	298.5[5]	306.0	326.3	317.8		
7 Bills (£ million)	13.0	16.5	16.1	42.2	45.6		42.7	46.7[5]	50.0[5]	45.6	41.5	49.1		
8 Loans and advances (£ million)	218.7	238.1	274.0	277.6	292.0		276.9	271.4[5]	293.2[5]	292.0	290.9	303.0		
9 Net external assets (£ million)	115.1	101.9	93.4	89.3	85.2		93.8	98.3[5]	85.7[5]	85.2	101.3	107.3		
10 Central Bank ratio[4] (Per cent)	30.2	27.0	23.4	22.9	23.6		24.2	25.8[5]	21.8[5]	23.6	26.0	25.5		

1 April; 3rd quarter figure not available owing to bank strike.
2 End of period.
3 Annual figures are monthly averages, quarterly figures are for March, June, September and December.
4 The ratio of the Associated Banks' net external assets plus balances with the Central Bank, less bills discounted with the Central Bank, to their liabilities within the State on current and deposit accounts.
5 Due to bank strike, 2nd quarter 1966 figures refer to April, and 3rd quarter figures to October.

Source: Quarterly Bulletin of the Central Bank of Ireland, Irish Statistical Bulletin.

TABLE E **Foreign trade and payments**

	1962	1963	1964	1965	1966	1967	1966				1967			
							I	II	III	IV	I	II	III	IV
1 Imports (£ million, monthly averages)	22.8	25.6	29.0	31.0	31.0	32.5	30.1	28.6	32.3	33.1	33.4	32.8	31.0	33.0
2 Exports (£ million, monthly averages)	14.5	16.3	18.5	18.6	20.4	23.7	19.3	17.0	22.0	22.6	21.5	22.4	25.5	25.4
3 Trade balance (£ million, monthly averages)	–8.3	–9.3	–10.5	–12.4	–10.7	–8.9	–10.8	–11.6	–10.3	–9.8	–12.0	–10.4	–5.4	–7.6
4 Volume of imports[1] (1953 = 100)	137.2	151.3	170.0	177.5	177.9		171.1	160.6	184.2	188.2	190.8	187.6	177.9	
5 Volume of exports[1] (1953 = 100)	149.1	164.5	175.3	173.7	188.9		179.1	154.8	201.8	217.0	196.5	205.8	236.9	
6 Import prices[1] (1953 = 100)	107.6	109.4	110.4	112.9	112.9		113.9	115.1	113.6	114.3	113.4	113.2	112.6	
7 Export prices[1] (1953 = 100)	101.9	103.9	109.6	110.9	112.9		112.8	115.1	114.5	110.8	114.3	114.2	112.6	
8 Terms of trade (1953 = 100)	94.7	94.9	99.5	98.2	100.0		98.9	100.0	100.7	96.9	100.8	100.8	99.9	
9 Total external assets (£ million, end of period)	234.0	236.9	242.1	224.1	253.5		242.2	245.4[2]	239.4[3]	253.5	266.9	266.2	292.2	
Of which:														
Central Bank	104.3	119.4	147.9	134.0	167.5		147.6	141.5	146.4	167.5	164.8	158.1	175.3	
Associated Banks (net)	115.1	101.9	93.4	89.3	85.2		93.8	98.3[2]	85.7[3]	85.2	101.3	107.3	116.1	
Departmental funds	14.6	15.6	0.8	0.8	0.8		0.8	0.8	0.8	0.8	0.8	0.8	0.8	

1 Quarterly figures are averages of three months.
2 April.
3 October.

Source: Irish Statistical Bulletin, Quarterly Bulletin of the Central Bank of Ireland.

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